Downward Breakouts

	Bull Market
Reversal or continuation	Short-term bearish continuation
Performance rank	27 out of 36
Breakeven failure rate	29%
Average drop	14%
Volume trend	Downward
Pullbacks	74%
Percentage meeting price target	29%

The Results Snapshot shows the important numbers for falling wedges. When compared to other chart patterns, the failure-rate rank (not shown) is very high (bad). Bear markets, for example, rank 19 out of 20, where a rank of 1 is a pattern with the fewest failures.

The average rise or decline is also unexciting with mid-to-lower-list performance. Coupled with their rare appearance and the difficulty in spotting these patterns in the bush, falling wedges are beasts you probably will not want to trade. Still, they can come in as handy as metric wrenches to a mechanic.

I did a frequency distribution of the breakout distance to the wedge apex and found that the best performers in bull markets had upward breakouts 50% to 80% of the way to the apex, with rises averaging 42%.

However, even though a falling wedge may have a breakout 60% of the way to the apex, it does not mean you will see a 42% rise. Since we are dealing with probabilities, anything can happen (including you doing even better), but the statistics suggest a more powerful move.

The percentage meeting the price target (that is, the measure rule) for upward breakouts uses the highest high in the wedge as the target—an easy objective because there's no calculation involved, but the stock will struggle to meet it.

For downward breakouts, I use the pattern's height subtracted from the breakout price. That method is why downward breakouts rarely hit their